

“A 30-year stock market excess return of approximately zero is a huge disappointment to the legions of “stocks at any price” long-term investors. But it’s not the first extended drought. From 1803 to 1857, U.S. equities struggled; the stock investor would have received a third of the ending wealth of the bond investor. Stocks managed to break even only in 1871. Most observers would be shocked to learn there was ever a 68-year stretch of stock market underperformance. After a 72-year bull market from 1857 through 1929, another dry spell ensued. From 1929 through 1949, stocks failed to match bonds, the only long-term shortfall in the Ibbotson time sample. Perhaps it was the extraordinary period of history—The Great Depression and World War II—and the spectacular aftermath from 1950–1999, that lulled recent investors into a false sense of security regarding long-term equity performance.”

A 68-year long stock underperformance is almost the same as a human’s current expected lifespan in the U.S. Bonds outperformed stocks over an entire lifetime (really, more than a lifetime, since life expectancy in the 1800s was around 40 years in the U.S.). When talking about stocks for the long run, then, it must mean something other than a human lifetime. For a tortoise, deep sea tubeworm, or sequoia tree perhaps? To be fair, the longer you go back in history the more suspect the data is, so we confine our analysis below to the post 1900 period.

Other countries experienced large drawdowns, and even in the United States, an investor lost about 80% from the peak in the 1929-1930s stock bear market. The unfortunate mathematics of a 75% decline requires an investor to realize a 300% gain just to get back to even – the equivalent of compounding at 4.8% for 30 years! Even a smaller 50% drawdown would require 15 years at that rate of return to get back to even.

Large drawdowns are why many people choose to invest in bonds, but bonds are risky too. While stocks typically suffer from sharper price declines, bonds often have their value eroded by inflation. The U.S. and the U.K. have both seen real bond drawdowns of over 60%. While that sounds painful, in many other countries (Japan, Germany, Italy, and France), it was worse than 80%. Some countries that faced hyperinflation resulted in a total loss, and [Business Insider has a slideshow](#) that examines a few of the worst examples in the past 100 years.

Figure 9 shows that both stocks and bonds have had multiple large drawdowns over the years. The first chart uses monthly data (we don’t have monthly for the U.K.), and monthly data only increases